Heavy Co SFP and Liquidity

Heavy Co acquired 90% of the share capital of Light Co on 1 January 20X1.

Extracts from their statements of financial position as at 31 December 20X8 are shown below:

	Heavy Co	Light Co
	$ '000	$ '000
Tangible non-current assets	3,400	1,750
Investment in Light Co	4,000	
Current Assets		
Inventory	43	21
Trade receivables	102	65
Bank and cash	34	18
	7,579	1,854
Equity and Liabilities		
Share capital	3,800	1,000
Retained earnings	3,435	680
Non-current Liabilities	250	150
Current Liabilities	94	24
	7,579	1,854

Heavy Co paid $4 million for 90% of Light Co on 1 January 20X1. On the date of acquisition non-controlling interest was valued at $0.3 million. Light Co had retained earnings of $180,000 at acquisition.

Heavy Co sold goods to Light Co for $45,000 during 20X8. Heavy Co marked up their goods by 50%. Light Co still had a third of these goods in inventory at the year end.

At the year end, Light Co owed Heavy Co $12,000.

Tasks

Task 1 Use the information from Heavy Co and Light Co's statements of financial position to complete the following consolidated financial statement extract (record your answer in the word-processing area).

Extract from the consolidated statement of financial position of Heavy Co as at 31 December 20X8	
	$ '000
Non-current Assets	
Tangible non-current assets	a) $_____
b) _____ i) Investment in subsidiary ii) Investments iii) Goodwill	c) $_____
Current assets	
Inventory	d) $_____
Trade receivables	e) $_____
Bank and cash	f) $_____
Current Liabilities	g) $_____

Task 2 What amount should be shown for share capital in the consolidated statement of financial position as at 31 December 20X8? (record your answer in the word-processing area)

Task 3 If Heavy Co bought a 40% interest in a company, how would the investment be shown in the consolidated statement of financial position? (record your answer in the word-processing area)

A. Cost
B. Market value
C. Cost plus investor's share of profits
D. Cost plus investor's share of post-acquisition profit

Task 4 Which of the following statements concerning the liquidity of Heavy Co and Light Co is true? (record your answer in the word-processing area)

A. Heavy Co has substantially better liquidity than Light Co
B. Light Co's current ratio and acid test ratio are more than double those of Heavy Co
C. Heavy Co has an acid test ratio of 1.9
D. Light Co has a current ratio of 3.5

B I S U

Plan your response here

Question 1 of 1

Review Answer On

Confirm